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Ferguson v. JPMorgan Chase Bank, et al.

Tuesday, August

11, 2026

[TENTATIVE] ORDER SUSTAINING DEMURRER OF DEFENDANT, CAPITAL ONE, N.A., TO PLAINTIFF'S FIRST AMENDED COMPLAINT (6929)

I. BACKGROUND

The

first amended complaint alleges that Defendant, JPMorgan Chase Bank ("Chase"), approved a wire transfer from Plaintiff's account to a Capital One, N.A. ("Capital One") account owned by an individual who presented multiple high fraud risks that were readily discoverable by both institutions. (FAC ¶ 16.) Plaintiff alleges claims for negligence and violation of Commercial Code UCC Article 4A against both Defendants, and breach of contract and breach of fiduciary duty against Chase only.

Capital

One demurs to the claims for (1) negligence and (2) Violation of California Commercial Code UCC Article 4a. Capital One timely served the demurrer on Plaintiff who did not file an opposition.

II.

LEGAL

STANDARDS

A demurrer tests the sufficiency of a

complaint as a matter of law and raises only questions of law. (Schmidt v. Foundation Health (1995) 35 Cal.App.4th 1702, 1706.) In testing the

complaint's sufficiency, the court must assume the truth of the properly pleaded factual allegations as well as facts that can be reasonably inferred from those expressly pleaded facts. The court may also consider matters properly subject to judicial notice. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.)

III.

DISCUSSION

A.

Negligence

Defendant

argues the negligence claim is displaced by Division 11 of the California Commercial Code which provides exclusive remedies under the alleged circumstances. This is supported by Zengen, Inc. v. Comerica Bank (2007) 41 Cal.4th 239, 253 which held

that "division 11 provides that common law causes of action based on allegedly unauthorized funds transfers are preempted in two specific areas: (1) where the common law claims would create rights, duties, or liabilities inconsistent with division 11; and (2) where the circumstances giving rise to the common law claims are specifically covered by the provisions of division 11." (Id.)

The intent of the drafters was to provide a "comprehensive body of law to govern the rights and obligations resulting from wire transfers.

[Citations.]" (Zengen,

at 253 [italics in original.].) Capital One also relies on

In

Zengen, the plaintiff's claims were based on the allegation that the bank should not have accepted and executed the fraudulent payment order. (Id. at 254-255.) The statute sets forth the respective rights and liabilities of the parties upon the acceptance of a payment order. (Id. at 255.)

The

Court considers the gravamen of the complaint in deciding whether the

negligence claim is displaced by the UCC. (Sliders Trading Co. L.L.C. v. Wells Fargo Bank NA (N.D. Cal., Dec. 21, 2017, No. 17-CV-04930-LB) 2017 WL 6539843,

at *5 ["Here, the gravamen of the claim is that Wells Fargo should not have accepted and executed the fraudulent wires. The California Supreme Court has held that because the U.C.C. provides a remedy for a bank's processing of fraudulent payment orders, it displaces common-law claims like the negligence claim here."

Here, Plaintiff's claims arise from conduct surrounding the sending of the wire transfer by Chase and Capital One's receipt of the transfer. Plaintiff alleges that Capital One was negligent in accepting the transfer, because there were indicia of fraud. (FAC ¶¶ 15-17, 62-64.) Plaintiff alleges that Capital One should have detected "the suspicious nature of its account holder who initiated multiple suspicious and fraudulent high-value transfer requests" (Id. ¶ 76); and that "the transferee . . . presented multiple high fraud risk indicators that were readily

discoverable through basic due diligence" and "should have triggered heightened

fraud review and interdiction procedures by . . . Capital One[.]" Id. ¶¶ 16-17.

The SAC alleges Capital One negligently failed to hold the funds after the transfer from Chase. (id. ¶¶ 55-57) and failed to reasonably investigate what happened to the funds (id. ¶¶ 37, 47). As this involves a wire transfer the negligence claim is displaced by UCC Article 4A.

The negligence claim fails for a second reason: Capital One does not owe a duty to Plaintiff, a non-customer. (Software Design & Application, Ltd. v. Hoefer & Arnett, Inc. (1996) 49 Cal.App.4th 472, 479 ["Recent cases have held that absent extraordinary and specific facts, a bank does not owe a duty of care to a noncustomer.].)

B. Violation Of California Commercial Code UCC Article 4A

Applying the definitions under the statute, Chase is the receiving bank, as it received the wire instructions. (Cal. U. Com. Code, § 11103 (a)(4). Capital One is the beneficiary bank who is identified in a payment order which

directs which account is to be credited. (Cal. U. Com. Code, § 11103 (a)(2)(3).

Plaintiff

alleges that the wire transfer at issue to be sent from Chase to Capital One was "fraudulent and unauthorized." (SAC ¶ 23.) If payment is authorized, the receiving bank "shall refund any payment of the payment order received from the customer to the extent the bank is not entitled to enforce payment and shall pay interest on the refundable amount calculated from the date the bank received payment to the date of the refund." (Cal. U. Com. Code, § 11204 (a).)

If

Capital One, as the beneficiary bank, accepts a payment order, "the bank is obliged to pay the amount of the order to the beneficiary of the order." (Cal. U. Com. Code, § 11404 (a) [emphasis added].) Accordingly, Chase, the bank who received wire instructions, had the obligation to refund an unauthorized payment.

Accordingly,

Plaintiff has not alleged facts to support a claim against Capital One under the UCC.

IV. CONCLUSION

Plaintiff

did not file an opposition to address the viability of the negligence and UCC claims as alleged against Capital One. Accordingly, demurrer is SUSTAINED as to the first and second causes of action without leave to amend. (Lawrence v. Bank of America (1985) 163 Cal.App.3d 431, 436 ["... where the facts are not in dispute and the nature of the claim is clear, but no liability exists under substantive law," leave to amend should be denied].)